DOTON CHARTS
RECEIPTS, NOT HYPE

COMMENT: STRATEGY

# One Technique. One Month. −5.72R.

Strategy in the Wild, episode one. One technique — the fair value gap entry — rules locked before looking at a single result, run on Shopify (SHOP) for all of September 2026. It lost. Here is every trade.

**18**
SIGNALS ARMED
Nine filled. Nine were cancelled when a position filled first. All 18 are on the record — zero hidden.

**1 of 9**
TRADES WON
A win rate of 11.1%. The one winner hit its full target; the other eight trades all hit their stops.

**−5.72R**
NET RESULT
R is one unit of planned risk. Gross wins +2.00R, gross losses −7.72R. This is the whole month, not the highlights.

## The rules — locked before the run

1. **Bias first (daily).** Yesterday's close vs the daily 50-period average (EMA) picks the day's direction: long setups only, or short setups only. Context — never a second technique.
2. **Find the gap (1-hour).** A fair value gap: three candles where price moved so fast it left a space between candle 1's wick and candle 3's wick. Minimum width 0.15% of price, so dust doesn't count.
3. **Enter at the midpoint.** The order waits at the gap's 50% level — traders call it consequent encroachment. Best price inside the zone, with the invalidation level closest.
4. **Stop beyond the far edge.** Just past the gap's far side, plus a buffer of 10% of the gap's width. If price trades there, the loss is exactly −1R by construction.
5. **Target: 2R.** Aim to make twice the risk, fixed before entry and never moved. One position at a time; a setup dies if price closes through the gap, after 10 trading days, or at month end.

## What to look for — and why

- ✓ **The impulsive candle.** The middle candle is the displacement — price moved so fast that orders between the two wick prices never got filled. Speed is the evidence the imbalance is real.
- ✓ **The gap agrees with the daily bias.** Same direction as the bigger timeframe. A perfect gap against the trend is a trap, not a setup.
- ✓ **Price comes back to the gap.** Markets tend to revisit unfilled orders before continuing. The return trip is the entry — you never chase the move that made the gap.
- ✓ **If the gap fully closes, the idea is wrong.** A close through the far edge means the imbalance failed. Out at the stop, −1R, no debate, no hoping.
- ✓ **2R is the math, not a dream.** At a fixed 2R target, the rules break even at roughly a 33% win rate. Win one in three and the month survives. September paid one in nine.

# Every trade. Including the eight that lost.

SHOP (Shopify), September 2026, 1-hour bars, all times ET. Prices: Yahoo Finance. The same three-point checklist found every entry below — wins and losses alike.

| # | ENTRY | DIR | ENTRY PX | STOP | TARGET | EXIT | EXIT PX | RESULT |
|---|---|---|---|---|---|---|---|---|
| 1 | Sep 4, 12:30 | LONG | 146.81 | 145.95 | 148.52 | Sep 4, 13:30 | 145.95 | **−1.00R stop** |
| 2 | Sep 10, 09:30 | SHORT | 127.28 | 127.62 | 126.61 | Sep 10, 09:30 | 127.62 | **−1.00R stop*** |
| 3 | Sep 14, 09:30 | SHORT | 130.57 | 130.83 | 130.04 | Sep 14, 09:30 | 130.83 | **−1.00R stop*** |
| 4 | Sep 16, 10:30 | SHORT | 132.37 | 134.10 | 128.92 | Sep 16, 14:30 | 128.92 | **+2.00R target** |
| 5 | Sep 17, 09:30 | SHORT | 130.10 | 130.23 | 129.82 | Sep 17, 09:30 | 130.23 | **−1.00R stop*** |
| 6 | Sep 23, 09:30 | LONG | 141.01 | 137.12 | 148.79 | Sep 23, 09:30 | 137.12 | **−1.00R stop*** |
| 7 | Sep 25, 09:30 | LONG | 144.43 | 144.05 | 145.49 | Sep 25, 09:30 | 144.05 | **−1.00R stop*** |
| 8 | Sep 29, 15:30 | LONG | 147.42 | 147.12 | 148.00 | Sep 30, 09:30 | 147.12 | **−1.00R stop** |
| 9 | Sep 30, 12:30 | LONG | 149.09 | 148.18 | 150.91 | Sep 30, 15:30 | 148.43 | **−0.72R month-end** |

*Stopped out inside the entry candle itself — the rules only allow the stop to trigger on the entry bar, never the target. Trade 9 was still open at the September 30 close and was closed there, as the rules require.

**THE SCOREBOARD**

9 trades · 1 win (11.1%) · Net **−5.72R** · Best +2.00R · Worst **−1.00R**

> **The checklist did its job. The stop did its job.** Every entry was found by the same three checks, and the worst loss of the month was exactly the planned −1R — never more. A technique can be executed exactly as written and still lose the month. That is not a broken strategy. That is what the −1R cap is for.

## Read this honestly

These results are gross of commissions and slippage — real trading costs would make the month worse, not better. A few 1-hour bars that month had very wide ranges; the bars were taken at face value and any same-bar ambiguity was resolved conservatively, stop first. And this is one stock, one month: a sample of one. It illustrates a method and its risk math; it is not proof the technique works, and not proof it doesn't. Past prices do not predict future prices, and nothing here is a recommendation to buy or sell anything.

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